

lead to suboptimal investment results if the company producing the product or service is poorly managed or has financial or business-related problems.

Technical Description

A technical way of describing the phenomenon listed above is to describe the products as having either expressive or image-related value as opposed to utilitarian or functional value. As a practical example, advertisers target their consumers with different types of advertising by using two common approaches to influence consumer behavior: value-expressive (image) and utilitarian (functional) appeal¹ (see Park, Jaworski, and MacInnis 1986²; Snyder and DeBono 1985). The value-expressive strategy involves building a “personality” for a product or creating an image of the product user with which the consumer can identify. This value-expressive advertising appeal has the innovative objective of creating an image of the generalized user of the advertised product (or brand). However, the utilitarian strategy involves informing the target consumers about one or more key benefits that they may perceive as highly functional or important. The utilitarian advertising strategy is simply a creative strategy that highlights the functional features of the product (or brand). Those who are subject to affinity bias will focus on value-expressive characteristics rather than utilitarian benefits.

Practical Application: Affinity Bias

A useful application of affinity bias in the investment realm is *patriotism*. Investors who concentrate their holdings in their home country or state gain the expressive benefit of patriotism but may potentially lose the utilitarian benefits of high returns and low risk that come to those who invest elsewhere. Adair Morse and Sophie Shive³ (2003) of the University of Chicago Booth School of Business and the University of Notre Dame, respectively, found that patriotism continuously affects investment behavior in their study, “Patriotism in Your Portfolio.” They explored the role of devotion and loyalty to one’s country in explaining an “equity home bias” and found that investors in more patriotic countries and regions within the United States discriminate more in favor of domestic stocks. Much like betting on the home team despite unfavorable odds or allocating retirement savings only to one’s own company stock, patriotic investors choose to invest more of their stocks in firms based in their homeland. For example, the study found that U.S. investors hold 92 percent of their equity portfolio in domestic stock, although portfolio theory suggests that the optimally diversified portfolio should consist of only one third invested in domestic stocks.